William A. Barker PhD CFA, Paul D. McNelis and Jerry Nickelsburg PhD

William A. Barker, PhD, CFA (Canada). Paul D. McNelis is at Gabelli School of Business, Fordham University (USA). Jerry Nickelsburg, PhD, is at the Anderson School of Management, University of California, Los Angeles (USA).

CAPITAL FLOWS AND THE FX MARKET

LEARNING OUTCOMES

The candidate should be able to:

- describe the foreign exchange market, including its functions and participants, distinguish between nominal and real exchange rates, and calculate and interpret the percentage change in a currency relative to another currency
- describe exchange rate regimes and explain the effects of exchange rates on countries' international trade and capital flows
- describe common objectives of capital restrictions imposed by governments

© 2025 CFA Institute. All Rights Reserved.